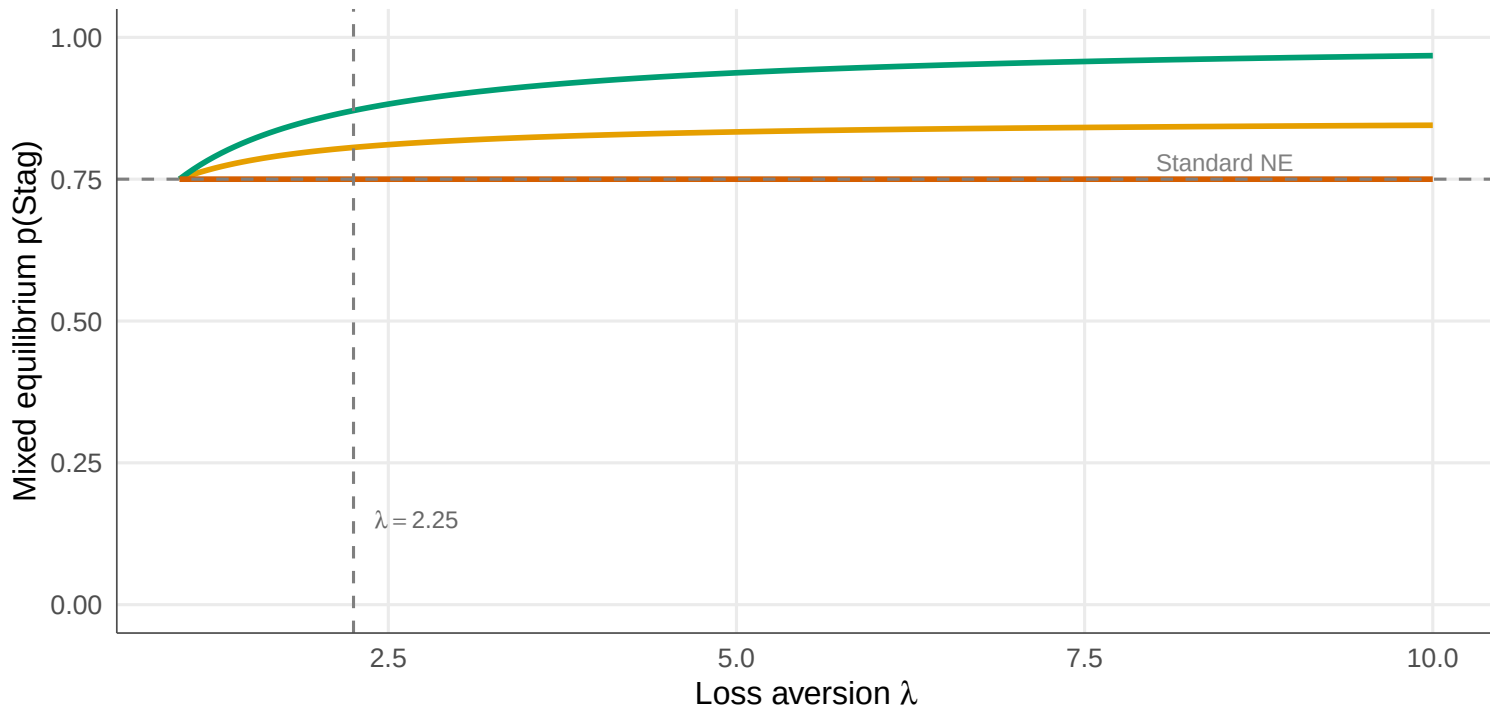


# Mixed equilibrium $p(\text{Stag})$ under loss aversion

Stag Hunt (4,0,3,3): loss aversion shifts the equilibrium threshold



Reference point   — Average (r=3.5)   — Hare payoff (r=3)   — Worst case (r=0)